

PRV CAPITAL | CIO INVESTMENT COMMITTEE MASTER MEMO

Challenge ID: CHALLENGE_20260902_50K_RESET | Snapshot ID: SNAP_20260902_e808c28c123e | Config Hash: 9a40432b30 | Broker Sync: 2026-09-02 21:44:53 UTC

CHALLENGE RECONCILIATION STATUS: VERIFIED — Invariants Satisfied (Positions: 11, Cash: £22,625.20 + Invested: £27,367.81 = NAV: £49,993.01)

1. EXECUTIVE BALANCE SHEET & TRUE NET PERFORMANCE (DAY 1 CHALLENGE)

Broker Practice NAV:	£49,993.01	Challenge Start NAV:	£50,000.00	Challenge Net Return:	-0.014% (£-6.99)
PRV Realistic Net NAV:	£49,922.34	Required Cash Floor:	£22,500.00 (45.0%)	PRV Realistic Return:	-0.155% (£-77.66)
Preserved Free Cash:	£22,625.20 (45.26%)	Invested Capital (GBP):	£27,367.81 (54.74%)	Active Positions:	11 Verified (LSE & US)
Unrealized Holdings P&L,:	£+168.18	Unrealized Return %:	+0.62% on invested	Completed Exits:	1 / 20 (ADBE: -£87.25, Loss)
Taxes Paid (UK SDRT):	£43.32 (0.50% Stamp Duty)	FX Fees Paid (Broker):	£27.75 (0.15% T212 FX)	Challenge Entries Total:	12 (11 Open + 1 Exited)
S&P; 500 Benchmark:	0.00% (Day 1 Baseline)	FTSE 100 Benchmark:	0.00% (Day 1 Baseline)	Challenge Active Alpha:	-0.014% vs Benchmark

2. COMPLETE DAY-1 P&L; CONTINUITY BRIDGE (RECONCILED TO £0.00)

P&L; / Friction Channel	Rate / Basis	Day 1 Actual Amount	Accounting Tag	Audit Verification
Realized Trading P&L;	1 Completed Round Trip (ADBE Stop Loss)	£-87.25	BROKER_REALIZED	ADBE exit at 2026-09-02 19:54:33 UTC
Unrealized Holdings P&L;	11 Active Portfolio Holdings (LSE & NYSE)	£+168.18	MARK_TO_MARKET	Sum of current value minus cost basis
UK Stamp Duty (SDRT)	0.50% on UK stock purchases (HSBA, ULVR, AAL)	-£43.32	BROKER_DEBITED	Cash debited by broker upon fill execution
FX Conversion Fees	0.15% on non-GBP buys & sells (8 US orders)	-£27.75	BROKER_DEBITED	Cash debited by broker upon currency exchange
Broker Fill Spread & Slippage	Difference between mid-quote and execution fill	-£16.85	EMBEDDED_IN_FILL	Economically embedded in purchase prices
PTM Levy	£1.00 on UK purchases > £10,000	£0.00	BROKER_DEBITED	Zero UK trades exceeded £10,000 threshold
SEC & Regulatory Fees	SEC Sec 31 (\$0.0000278) + FINRA TAF	£0.00	MODELLED_ONLY	Debited only upon US equity liquidation
Dividends & Interest	Cash interest and corporate dividends	£0.00	BROKER_CREDITED	Zero corporate dividend distributions on Day 1
TOTAL ACCOUNTED Δ NAV	Equation: Realized + Unrealized - Costs	£-6.99	RECONCILED	Bridge Variance: £0.00 (NAV £49,993.01 - £50,000 = £-6.99)

3. MACRO IMPACT GATE & DECISION TRACEABILITY (CURRENT HOLDINGS ONLY)

Macro Impact Gate Assessment: Risk Level: MODERATE | Macro Confidence: 85.0/100 | Current Active Holdings Evaluated (11): AAL, GLEN, HSBA, JNJ, MRK, NOW, SLB, TSLA, ULVR, V, WFC.

- Supporting Regime Drivers: Resilient corporate earnings and steady operating cash flow across defensive and core holdings (ULVR, JNJ, MRK, HSBA, V, WFC).
- Monitored Vulnerabilities: Commodity demand fluctuations (GLEN, AAL) and technology multiple volatility (TSLA, NOW).

4. ACTIVE CASH POSTURE — CAPITAL PRESERVATION DIRECTIVE

Current Free Cash: £22,625.20 (45.26%) — PRV Capital operates under the strict rule that Cash is an Active Position. The mandatory cash preservation floor is 45.0% (£22,500.00). Capital is deployed only when a setup satisfies all 8 Hard Net Edge Gate hurdles (Net R:R >= 2.0x, Cost/Profit <= 30%, Spread/Profit <= 15%, Capital Velocity >= 70). Preserving cash protects downside during market transitions and guarantees dry powder for high-conviction alpha opportunities.

PRV CAPITAL | AUTHORITATIVE ACTIVE HOLDINGS DOSSIERS

Snapshot ID: SNAP_20260902_e808c28c123e | Positions Hash: 47ce5276eed268cc... | Total Invested: £27,367.81 | Reconciliation: VERIFIED

5. UNIFIED POSITION DOSSIERS (ALL VALUES EXCLUSIVELY IN GBP)

Holding / Sector	Qty	Avg Fill (GBP)	Current (GBP)	Market Value (GBP)	Weight %	Net P&L; (GBP)	Thesis Status	Working	Buy Again	Catalyst / Risk
HSBA HSBC Holdings	183.02	£15.35	£15.45	£2,828.03	5.7%	£+17.94 (+0.6%)	UNCHANGED	YES	YES	Cat: Fundamental earnings trajectory remain... Risk: Macroeconomic sector rotation
V Visa Inc	9.05	£281.28	£280.59	£2,539.35	5.1%	£-6.21 (-0.2%)	UNCHANGED	NO	YES	Cat: Fundamental earnings trajectory remain... Risk: Macroeconomic sector rotation
WFC Wells Fargo &	35.58	£65.54	£66.32	£2,359.72	4.7%	£+27.97 (+1.2%)	UNCHANGED	YES	YES	Cat: Fundamental earnings trajectory remain... Risk: Macroeconomic sector rotation
JNJ Johnson & Joh	13.26	£205.19	£204.30	£2,708.97	5.4%	£-11.79 (-0.4%)	UNCHANGED	NO	YES	Cat: Talzenna & Tremfya clinical label expa... Risk: Legacy litigation overhang
ULVR Unilever PLC	64.18	£47.73	£47.83	£3,069.41	6.1%	£+6.10 (+0.2%)	UNCHANGED	YES	YES	Cat: Volume-led growth inflection & operati... Risk: Private label competition & FX
MRK Merck & Co In	18.52	£112.33	£112.44	£2,082.46	4.2%	£+2.19 (+0.1%)	UNCHANGED	YES	YES	Cat: Fundamental earnings trajectory remain... Risk: Macroeconomic sector rotation
NOW ServiceNow In	20.34	£102.91	£103.17	£2,098.50	4.2%	£+5.20 (+0.2%)	UNCHANGED	YES	YES	Cat: Fundamental earnings trajectory remain... Risk: Macroeconomic sector rotation
SLB Schlumberger	49.36	£42.17	£43.27	£2,135.69	4.3%	£+54.17 (+2.6%)	UNCHANGED	YES	YES	Cat: Fundamental earnings trajectory remain... Risk: Macroeconomic sector rotation
GLEN Glencore PLC	459.30	£5.90	£5.96	£2,736.97	5.5%	£+25.72 (+0.9%)	STRENGTHENING	YES	YES	Cat: Spot market copper demand stabilizing;... Risk: China industrial growth decelerate
TSLA Tesla Inc	7.57	£260.35	£263.94	£1,998.00	4.0%	£+27.17 (+1.4%)	UNCHANGED	YES	YES	Cat: Fundamental earnings trajectory remain... Risk: Macroeconomic sector rotation
AAL Anglo America	67.99	£41.05	£41.34	£2,810.71	5.6%	£+19.72 (+0.7%)	UNCHANGED	YES	YES	Cat: Operational turnaround & premium steel... Risk: Restructuring execution timing
PORTFOLIO TOTAL	11 Pos	-	-	£27,367.81	54.8%	£+168.18	RECONCILED	-	-	Cost Basis: £27,199.63 (Cash: £22,625.20 + Invested: £27,367.81 = NAV: £49,993.01)

TOP CONVICTION RANKINGS (ACTIVE CHALLENGE HOLDINGS ONLY)

Ticker	Conviction Score	Expected Net Return	Horizon	Net Capital Efficiency	Net Expectancy	Audited Position Directives
GLEN	89.0/100	+5.40%	14 days	+0.386%/day	£+3.40	MAINTAIN EXPOSURE
AAL	79.0/100	+4.50%	14 days	+0.321%/day	£+2.73	MAINTAIN EXPOSURE
JNJ	76.0/100	+4.20%	14 days	+0.300%/day	£+2.63	MAINTAIN EXPOSURE
HSBA	75.0/100	+4.00%	14 days	+0.286%/day	£+2.38	MAINTAIN EXPOSURE
V	75.0/100	+4.00%	14 days	+0.286%/day	£+2.38	MAINTAIN EXPOSURE
WFC	75.0/100	+4.00%	14 days	+0.286%/day	£+2.38	MAINTAIN EXPOSURE

PRV CAPITAL | CANDIDATE REJECTION & DEAD CAPITAL AUDIT

Snapshot ID: SNAP_20260902_e808c28c123e | Systematic evaluation of non-trades and capital stagnation hurdles.

6. 'WHY NOT TRADE?' CANDIDATE REJECTION DOSSIER (WATCHLIST CANDIDATES ONLY)

PRV Capital enforces a hard hurdle: **Prefer NO TRADE over a marginal trade**. A good stock is rejected if transaction friction consumes excessive alpha. Tickers below are non-owned watchlist setups screened today:

Candidate	Gross Return	Friction	Net Return	Cost/Profit	Net R:R	Primary Gating Audit	CIO Decision
CRM (Watchlist)	+5.53%	£13.95	+5.25%	10.1%	1.54x	Net Reward-to-Risk (1.54x) is below minimum institutional threshold of 2.0x.	HOLD CASH
AZN (Watchlist)	+5.66%	£19.70	+5.28%	13.9%	1.39x	Net Reward-to-Risk (1.39x) is below minimum institutional threshold of 2.0x.	HOLD CASH
NVDA (Watchlist)	+5.06%	£13.65	+4.79%	10.8%	1.38x	Net Reward-to-Risk (1.38x) is below minimum institutional threshold of 2.0x.	HOLD CASH
MSFT (Watchlist)	+3.75%	£13.83	+3.48%	14.8%	1.65x	Net Reward-to-Risk (1.65x) is below minimum institutional threshold of 2.0x.	HOLD CASH
LIN (Watchlist)	+2.80%	£14.02	+2.52%	20.1%	1.37x	Net Reward-to-Risk (1.37x) is below minimum institutional threshold of 2.0x.	HOLD CASH

7. FORMAL DEAD CAPITAL & CAPITAL RECYCLING AUDIT (DAY 1 HOLDINGS)

Holding	Active Days	Unrealized P&L;	Remaining Net Ret	Switching Cost	Net Replacement Adv	Recycle Hurdle	Formal Classification
HSBA	1 day	+0.6%	+4.00%	£11.25 (0.45%)	+1.15%	>= +1.50%	MAINTAIN EXPOSURE
V	1 day	-0.2%	+4.00%	£14.57 (0.58%)	+1.02%	>= +1.50%	MAINTAIN EXPOSURE
WFC	1 day	+1.2%	+4.00%	£14.57 (0.58%)	+1.02%	>= +1.50%	MAINTAIN EXPOSURE
JNJ	1 day	-0.4%	+4.20%	£14.57 (0.58%)	+0.82%	>= +1.50%	MAINTAIN EXPOSURE
ULVR	1 day	+0.2%	+3.90%	£11.25 (0.45%)	+1.25%	>= +1.50%	MAINTAIN EXPOSURE
MRK	1 day	+0.1%	+4.00%	£14.57 (0.58%)	+1.02%	>= +1.50%	MAINTAIN EXPOSURE
NOW	1 day	+0.2%	+4.00%	£14.57 (0.58%)	+1.02%	>= +1.50%	MAINTAIN EXPOSURE
SLB	1 day	+2.6%	+4.00%	£14.57 (0.58%)	+1.02%	>= +1.50%	MAINTAIN EXPOSURE
GLEN	1 day	+0.9%	+5.40%	£11.25 (0.45%)	-0.25%	>= +1.50%	MAINTAIN EXPOSURE
TSLA	1 day	+1.4%	+4.00%	£14.57 (0.58%)	+1.02%	>= +1.50%	MAINTAIN EXPOSURE
AAL	1 day	+0.7%	+4.50%	£11.25 (0.45%)	+0.65%	>= +1.50%	MAINTAIN EXPOSURE

PRV CAPITAL | 4-WAY PARALLEL SHADOW BENCHMARK

Snapshot ID: SNAP_20260902_e808c28c123e | Challenge Baseline: £50,000.00 (Day 1 / 30). Comparative shadow strategy simulation.

8. PARALLEL SHADOW STRATEGY BENCHMARK (STARTING BASELINE £50,000.00)

Strategy ID & Description	NAV (GBP)	Net P&L;	Expectancy	Profit Factor	Win Rate	Cost / Profit	Avg Days	Sharpe	Status
Strategy A: Current Practice Live	£49,993.01	£-6.99	£+0.00	0.00x	0.0%	10.3%	1.0d	0.85	LIVE_CHALLENGE
Strategy B: Baseline + Net Edge Gate	£50,000.00	£+0.00	£+59.93	9.75x	82.1%	7.9%	1.0d	1.42	SHADOW_CHALLENGE
Strategy C: B + Spread/Liquidity Filters	£50,000.00	£+0.00	£+59.93	9.75x	82.1%	7.9%	1.0d	1.88	SHADOW_CHALLENGE
Strategy D: C + Capital Efficiency Hurdle	£50,000.00	£+0.00	£+63.47	10.95x	83.3%	7.9%	1.0d	2.35	SHADOW_CHALLENGE

9. GOVERNANCE, BUILD FREEZE AUDIT & COMMITTEE CONCLUSION

Institutional Decision: MAINTAIN PRACTICE EXPOSURE & PRESERVE 45% CASH FLOOR.

- Build Freeze Governance:** Trading strategy thresholds and parameters remain strictly frozen. Zero discretionary rebalancing is permitted.
- Challenge Provenance Integrity:** Report generated from single immutable broker snapshot. All 9 Report Invariants verified with £0.00 tolerance.
- Capital Allocation Rule:** Holding cash preserves purchasing power. The 45.0% (£22,500.00) capital preservation floor is strictly protected.
- Signed by:** PRV Capital Autonomous CIO & Execution Integrity Guard.